Construction Loan Agreement

Dated September 1, 2023 | First Piedmont Bank, Lender | Calder Works Owner LLC, Borrower

Article 3

Section 3.1 Conditions to Initial Advance. The obligation of Lender to make the initial Advance is subject to receipt of, among other things, the Approved Part 2 Application, the Construction Contract, evidence that the Equity Requirement has been satisfied, the Appraisal, a title policy in the amount of the Loan, and an opinion of Borrower's counsel in form satisfactory to Lender.

Section 3.2 Retainage. The Lender shall retain ten percent of each advance for hard costs until the Project is fifty percent complete, as certified by the Lender's inspecting engineer, and five percent thereafter. Retainage shall be released upon substantial completion of the applicable Building, receipt of a certificate of occupancy and final lien waivers, and satisfaction of all punch list items.

Section 3.3 Equity Requirement. Prior to the first Advance, and at all times thereafter, Borrower shall have contributed to Project Costs, from sources other than the Loan, an amount not less than the excess of Total Project Costs as set forth in Exhibit C over the Loan Amount, and Lender shall not be required to make any Advance to the extent that, after giving effect thereto, the undisbursed Loan proceeds and remaining Equity would be insufficient to complete the Project.

Section 3.4 Removal of Managing Member. The Investor Member may remove the Managing Member upon the occurrence of any of the following: (i) fraud, gross negligence or willful misconduct; (ii) a material breach of this Agreement not cured within thirty days after notice; (iii) the bankruptcy of the Managing Member or any Guarantor; or (iv) any action or omission that results in a recapture or disallowance of the Credits.

Article 2 - The Loan

Section 2.1 Loan Amount. Subject to the terms of this Agreement, Lender agrees to lend to Borrower an amount not to exceed Twenty-Six Million Dollars ($26,000,000) (the 'Loan Amount'), to be advanced in accordance with Article 4 for the payment of Project Costs set forth in the Budget attached as part of Exhibit C.

Section 3.5 Interest Rate. The Loan shall bear interest at a floating rate per annum equal to Term SOFR for a one-month interest period plus three and one-quarter percent (3.25%), subject to a floor of six percent (6.00%), computed on the basis of a 360-day year and actual days elapsed.

Section 3.6 Environmental Matters. Calder Works Owner LLC shall not cause or permit any hazardous substance to be generated, stored, released or disposed of on or from the Property except in compliance with applicable environmental laws. Calder Works Owner LLC shall promptly notify the Lender of any release, claim or notice of violation and shall undertake, at its cost, any remediation required by any governmental authority having jurisdiction.

Section 3.7 Maturity. The Loan shall mature on the date that is thirty-six (36) months after the Closing Date, subject to one extension of six (6) months upon satisfaction of the Extension Conditions, including payment of an extension fee of one quarter of one percent (0.25%) of the outstanding principal balance.

Section 3.8 Insurance. During the term of this Agreement, Calder Works Owner LLC shall maintain, at its sole cost, commercial general liability insurance with limits of not less than $1,000,000 per occurrence and $2,000,000 in the aggregate, builder's risk insurance on a completed value basis, and such other coverage as the Lender may reasonably require. Each policy shall name the Lender as an additional insured and shall provide for thirty days' prior written notice of cancellation.

Section 3.9 Tax Credit Covenants. Borrower shall comply with all requirements necessary to obtain and maintain the Federal Credits and State Credits for each Building, shall not take any action that would cause a recapture of such credits, and shall deliver to Lender copies of all Part 2 and Part 3 correspondence promptly upon receipt.

Section 3.10 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Section 3.11 Debt Service Coverage. As a condition to conversion of the Loan to permanent financing, the Project shall have achieved, for three (3) consecutive months, a debt service coverage ratio of not less than 1.25 to 1.00, calculated on a trailing basis using actual operating revenues and expenses annualized.

Section 3.12 Management Standards. The Manager shall operate the Property in a manner consistent with first-class residential properties of similar age and type in the Lynchburg metropolitan area, shall use diligent efforts to lease units at market rents, shall collect rents and other income, and shall cause all repairs and maintenance to be performed in a good and workmanlike manner in accordance with the approved budget.

Article 4

Section 4.1 Conditions to Initial Advance. The obligation of Lender to make the initial Advance is subject to receipt of, among other things, the Approved Part 2 Application, the Construction Contract, evidence that the Equity Requirement has been satisfied, the Appraisal, a title policy in the amount of the Loan, and an opinion of Borrower's counsel in form satisfactory to Lender.

Section 4.2 Warranty of Work. The Contractor warrants that all materials and equipment furnished under this Agreement will be new unless otherwise specified, of good quality and free from defects, and that the Work will conform to the Contract Documents. The Contractor shall correct any Work found to be defective within one year after substantial completion of the applicable Building.

Section 4.3 Equity Requirement. Prior to the first Advance, and at all times thereafter, Borrower shall have contributed to Project Costs, from sources other than the Loan, an amount not less than the excess of Total Project Costs as set forth in Exhibit C over the Loan Amount, and Lender shall not be required to make any Advance to the extent that, after giving effect thereto, the undisbursed Loan proceeds and remaining Equity would be insufficient to complete the Project.

Section 4.4 Compensation of Manager. As full compensation for its services, the Manager shall receive a monthly management fee equal to four percent of gross collected revenues of the Property, payable in arrears on the tenth day of each month. No leasing commission, construction supervision fee or other compensation shall be payable to the Manager or its affiliates except as approved in writing by the Owner.

Section 4.5 Interest Rate. The Loan shall bear interest at a floating rate per annum equal to Term SOFR for a one-month interest period plus three and one-quarter percent (3.25%), subject to a floor of six percent (6.00%), computed on the basis of a 360-day year and actual days elapsed.

Section 4.6 Budgets and Operating Plans. Not later than sixty days before the start of each fiscal year, the Managing Member shall prepare and deliver to the Investor Member a proposed annual operating budget for the Property. Any budget that increases total operating expenses by more than ten percent over the prior year, or that provides for any capital expenditure in excess of $100,000, shall require the approval of the Investor Member.

Section 4.7 Maturity. The Loan shall mature on the date that is thirty-six (36) months after the Closing Date, subject to one extension of six (6) months upon satisfaction of the Extension Conditions, including payment of an extension fee of one quarter of one percent (0.25%) of the outstanding principal balance.

Section 4.8 Accounting and Tax Matters. The fiscal year of the Company shall be the calendar year. The Company shall prepare and file all federal, state and local tax returns required to be filed by it and shall deliver to each Member, within seventy-five days after the end of each fiscal year, a Schedule K-1 and such other information as the Member may reasonably require to prepare its own returns.

Section 4.9 Tax Credit Covenants. Borrower shall comply with all requirements necessary to obtain and maintain the Federal Credits and State Credits for each Building, shall not take any action that would cause a recapture of such credits, and shall deliver to Lender copies of all Part 2 and Part 3 correspondence promptly upon receipt.

Section 4.10 Draw Requests. Each request for an advance shall be submitted on the Lender's standard form not later than the fifteenth day of the month, accompanied by an AIA G702/G703 application for payment certified by the Architect, lien waivers from the General Contractor and each subcontractor for the prior advance, an updated construction schedule and such other documents as the Lender may reasonably require.

Section 4.11 Debt Service Coverage. As a condition to conversion of the Loan to permanent financing, the Project shall have achieved, for three (3) consecutive months, a debt service coverage ratio of not less than 1.25 to 1.00, calculated on a trailing basis using actual operating revenues and expenses annualized.

Section 4.12 Force Majeure. Neither party shall be liable for any delay or failure in performance (other than the payment of money) caused by events beyond its reasonable control, including acts of God, fire, flood, epidemic, war, terrorism, labor disputes not involving the affected party's employees, governmental action or unavailability of materials, provided that the affected party gives prompt notice and uses commercially reasonable efforts to resume performance.

Article 5

Section 5.1 Conditions to Initial Advance. The obligation of Lender to make the initial Advance is subject to receipt of, among other things, the Approved Part 2 Application, the Construction Contract, evidence that the Equity Requirement has been satisfied, the Appraisal, a title policy in the amount of the Loan, and an opinion of Borrower's counsel in form satisfactory to Lender.

Section 5.2 Compliance with Laws. Calder Works Owner LLC shall comply in all material respects with all laws, ordinances, rules, regulations and orders of governmental authorities applicable to the Property and its operation, including building codes, fire safety regulations, environmental laws, fair housing laws and the requirements of the Americans with Disabilities Act, and shall obtain and maintain all permits and licenses required in connection therewith.

Section 5.3 Equity Requirement. Prior to the first Advance, and at all times thereafter, Borrower shall have contributed to Project Costs, from sources other than the Loan, an amount not less than the excess of Total Project Costs as set forth in Exhibit C over the Loan Amount, and Lender shall not be required to make any Advance to the extent that, after giving effect thereto, the undisbursed Loan proceeds and remaining Equity would be insufficient to complete the Project.

Section 5.4 Remedies Cumulative. Except as otherwise expressly provided, the rights and remedies of the parties under this Agreement are cumulative and not exclusive of any rights or remedies that they may otherwise have at law or in equity. The exercise of any one right or remedy shall not preclude the concurrent or subsequent exercise of any other right or remedy.

Section 5.5 Interest Rate. The Loan shall bear interest at a floating rate per annum equal to Term SOFR for a one-month interest period plus three and one-quarter percent (3.25%), subject to a floor of six percent (6.00%), computed on the basis of a 360-day year and actual days elapsed.

Section 5.6 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 5.7 Maturity. The Loan shall mature on the date that is thirty-six (36) months after the Closing Date, subject to one extension of six (6) months upon satisfaction of the Extension Conditions, including payment of an extension fee of one quarter of one percent (0.25%) of the outstanding principal balance.

Section 5.8 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be reviewed by the Owner's historic consultant and, where required by the conditions of the Part 2 approval, submitted to the State Historic Preservation Office for review by the National Park Service.

Section 5.9 Tax Credit Covenants. Borrower shall comply with all requirements necessary to obtain and maintain the Federal Credits and State Credits for each Building, shall not take any action that would cause a recapture of such credits, and shall deliver to Lender copies of all Part 2 and Part 3 correspondence promptly upon receipt.

Section 5.10 Assignment. Calder Works Owner LLC shall not assign, transfer or delegate any of its rights or obligations under this Agreement, whether voluntarily, by operation of law or otherwise, without the prior written consent of the Lender, which may be withheld in its sole discretion. Any purported assignment in violation of this Section shall be null and void. Subject to the foregoing, this Agreement shall bind and benefit the parties and their respective successors and permitted assigns.

Section 5.11 Debt Service Coverage. As a condition to conversion of the Loan to permanent financing, the Project shall have achieved, for three (3) consecutive months, a debt service coverage ratio of not less than 1.25 to 1.00, calculated on a trailing basis using actual operating revenues and expenses annualized.

Section 5.12 Representations Regarding the Property. Calder Works Owner LLC represents that, to its knowledge, there are no pending or threatened actions, suits or proceedings affecting the Property; that it has not received any notice of violation of any law affecting the Property that remains uncured; and that the plans and specifications for the rehabilitation have been prepared in accordance with the approved Part 2 application and all conditions thereto.

Article 6

Section 6.1 Conditions to Initial Advance. The obligation of Lender to make the initial Advance is subject to receipt of, among other things, the Approved Part 2 Application, the Construction Contract, evidence that the Equity Requirement has been satisfied, the Appraisal, a title policy in the amount of the Loan, and an opinion of Borrower's counsel in form satisfactory to Lender.

Section 6.2 Reserves. The Company shall establish and maintain an operating reserve and a replacement reserve in the amounts required by the Lender and the Investor Member. Withdrawals from the operating reserve shall be made only to fund operating deficits, and withdrawals from the replacement reserve shall be made only for capital repairs and replacements approved in the annual budget or otherwise approved by the Investor Member.

Section 6.3 Equity Requirement. Prior to the first Advance, and at all times thereafter, Borrower shall have contributed to Project Costs, from sources other than the Loan, an amount not less than the excess of Total Project Costs as set forth in Exhibit C over the Loan Amount, and Lender shall not be required to make any Advance to the extent that, after giving effect thereto, the undisbursed Loan proceeds and remaining Equity would be insufficient to complete the Project.

Section 6.4 Representations of Authority. Each party represents and warrants that it is duly organized, validly existing and in good standing under the laws of the jurisdiction of its formation; that it has full power and authority to enter into and perform this Agreement; that the execution, delivery and performance of this Agreement have been duly authorized by all necessary action; and that this Agreement constitutes its legal, valid and binding obligation, enforceable in accordance with its terms.

Section 6.5 Interest Rate. The Loan shall bear interest at a floating rate per annum equal to Term SOFR for a one-month interest period plus three and one-quarter percent (3.25%), subject to a floor of six percent (6.00%), computed on the basis of a 360-day year and actual days elapsed.

Section 6.6 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as the Lender may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of Calder Works Owner LLC beyond those expressly stated herein.

Section 6.7 Maturity. The Loan shall mature on the date that is thirty-six (36) months after the Closing Date, subject to one extension of six (6) months upon satisfaction of the Extension Conditions, including payment of an extension fee of one quarter of one percent (0.25%) of the outstanding principal balance.

Section 6.8 Events of Default. Each of the following shall constitute an Event of Default: (a) failure to pay any amount when due and continuance of such failure for ten days; (b) any representation proving untrue in any material respect when made; (c) failure to perform any other covenant within thirty days after notice; (d) the filing of any lien against the Property not bonded or discharged within thirty days; or (e) any material adverse change in the condition of the Property or the Borrower.

Section 6.9 Tax Credit Covenants. Borrower shall comply with all requirements necessary to obtain and maintain the Federal Credits and State Credits for each Building, shall not take any action that would cause a recapture of such credits, and shall deliver to Lender copies of all Part 2 and Part 3 correspondence promptly upon receipt.

Section 6.10 Entire Agreement. This Agreement, together with the Exhibits and Schedules attached hereto, constitutes the entire agreement among the parties with respect to its subject matter and supersedes all prior and contemporaneous agreements, term sheets, letters of intent, presentations and understandings, whether written or oral. No statement in any offering material, investor presentation or summary shall modify the terms hereof unless expressly incorporated by written amendment.

Section 6.11 Debt Service Coverage. As a condition to conversion of the Loan to permanent financing, the Project shall have achieved, for three (3) consecutive months, a debt service coverage ratio of not less than 1.25 to 1.00, calculated on a trailing basis using actual operating revenues and expenses annualized.

Section 6.12 Interpretation. The headings in this Agreement are for convenience only and shall not affect its interpretation. Words in the singular include the plural and vice versa. The words 'include', 'includes' and 'including' are deemed followed by 'without limitation'. References to Sections, Exhibits and Schedules are to those of this Agreement unless otherwise stated. Defined terms used in an Exhibit have the meanings given in the body of this Agreement unless the Exhibit provides otherwise.

Article 7

Section 7.1 Conditions to Initial Advance. The obligation of Lender to make the initial Advance is subject to receipt of, among other things, the Approved Part 2 Application, the Construction Contract, evidence that the Equity Requirement has been satisfied, the Appraisal, a title policy in the amount of the Loan, and an opinion of Borrower's counsel in form satisfactory to Lender.

Section 7.2 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 7.3 Equity Requirement. Prior to the first Advance, and at all times thereafter, Borrower shall have contributed to Project Costs, from sources other than the Loan, an amount not less than the excess of Total Project Costs as set forth in Exhibit C over the Loan Amount, and Lender shall not be required to make any Advance to the extent that, after giving effect thereto, the undisbursed Loan proceeds and remaining Equity would be insufficient to complete the Project.

Section 7.4 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 7.5 Interest Rate. The Loan shall bear interest at a floating rate per annum equal to Term SOFR for a one-month interest period plus three and one-quarter percent (3.25%), subject to a floor of six percent (6.00%), computed on the basis of a 360-day year and actual days elapsed.

Section 7.6 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 7.7 Maturity. The Loan shall mature on the date that is thirty-six (36) months after the Closing Date, subject to one extension of six (6) months upon satisfaction of the Extension Conditions, including payment of an extension fee of one quarter of one percent (0.25%) of the outstanding principal balance.

Section 7.8 Tax Matters Partner. The Managing Member is designated as the partnership representative of the Company within the meaning of Section 6223 of the Code. The partnership representative shall not settle any audit, extend any statute of limitations or file any petition with respect to Company tax items without the prior written consent of the Investor Member, and shall keep the Investor Member informed of all material communications with taxing authorities.

Section 7.9 Tax Credit Covenants. Borrower shall comply with all requirements necessary to obtain and maintain the Federal Credits and State Credits for each Building, shall not take any action that would cause a recapture of such credits, and shall deliver to Lender copies of all Part 2 and Part 3 correspondence promptly upon receipt.

Section 7.10 Estoppel Certificates. Within ten business days after request by the Lender, Calder Works Owner LLC shall deliver a certificate stating whether this Agreement is in full force and effect, whether it has been modified (and identifying any modification), the dates through which amounts payable hereunder have been paid, and whether, to the knowledge of the certifying party, any default exists. Any such certificate may be relied upon by any prospective lender, investor or purchaser.

Section 7.11 Debt Service Coverage. As a condition to conversion of the Loan to permanent financing, the Project shall have achieved, for three (3) consecutive months, a debt service coverage ratio of not less than 1.25 to 1.00, calculated on a trailing basis using actual operating revenues and expenses annualized.

Section 7.12 Amendments. No amendment, modification, supplement or waiver of any provision of this Agreement shall be effective unless set forth in a writing signed by each party against whom enforcement is sought. Any Exhibit may be replaced only by an amendment that expressly identifies the Exhibit being replaced; absent such identification, the Exhibit attached on the Effective Date shall continue to control.

Article 8

Section 8.1 Conditions to Initial Advance. The obligation of Lender to make the initial Advance is subject to receipt of, among other things, the Approved Part 2 Application, the Construction Contract, evidence that the Equity Requirement has been satisfied, the Appraisal, a title policy in the amount of the Loan, and an opinion of Borrower's counsel in form satisfactory to Lender.

Section 8.2 Dissolution. The Company shall dissolve and its affairs shall be wound up upon the first to occur of (a) the sale or other disposition of all or substantially all of its assets, (b) the written consent of all Members, or (c) the entry of a decree of judicial dissolution. Upon dissolution, the assets of the Company shall be applied in the order of priority set forth in Section 10.3.

Section 8.3 Equity Requirement. Prior to the first Advance, and at all times thereafter, Borrower shall have contributed to Project Costs, from sources other than the Loan, an amount not less than the excess of Total Project Costs as set forth in Exhibit C over the Loan Amount, and Lender shall not be required to make any Advance to the extent that, after giving effect thereto, the undisbursed Loan proceeds and remaining Equity would be insufficient to complete the Project.

Section 8.4 Indemnification. Calder Works Owner LLC shall indemnify, defend and hold harmless the Lender and its members, managers, officers, employees and agents from and against any and all losses, liabilities, damages, costs and expenses, including reasonable attorneys' fees, arising out of (a) any breach of any representation, warranty or covenant of Calder Works Owner LLC contained herein, (b) the gross negligence or willful misconduct of Calder Works Owner LLC, or (c) any claim by a third party relating to the condition of the Property prior to the Effective Date.

Section 8.5 Interest Rate. The Loan shall bear interest at a floating rate per annum equal to Term SOFR for a one-month interest period plus three and one-quarter percent (3.25%), subject to a floor of six percent (6.00%), computed on the basis of a 360-day year and actual days elapsed.

Section 8.6 No Third-Party Beneficiaries. Nothing in this Agreement, express or implied, is intended to or shall confer upon any person other than the parties and their respective successors and permitted assigns any legal or equitable right, benefit or remedy of any nature whatsoever under or by reason of this Agreement, except as expressly provided with respect to indemnified persons.

Section 8.7 Maturity. The Loan shall mature on the date that is thirty-six (36) months after the Closing Date, subject to one extension of six (6) months upon satisfaction of the Extension Conditions, including payment of an extension fee of one quarter of one percent (0.25%) of the outstanding principal balance.

Section 8.8 Books and Records. Calder Works Owner LLC shall keep complete and accurate books of account and records with respect to the Property and the transactions contemplated hereby, in accordance with generally accepted accounting principles consistently applied, and shall make such books and records available to the Lender and its representatives for inspection and copying at reasonable times upon not less than five business days' prior notice.

Section 8.9 Tax Credit Covenants. Borrower shall comply with all requirements necessary to obtain and maintain the Federal Credits and State Credits for each Building, shall not take any action that would cause a recapture of such credits, and shall deliver to Lender copies of all Part 2 and Part 3 correspondence promptly upon receipt.

Section 8.10 Time of the Essence. Time is of the essence with respect to each provision of this Agreement in which a time for performance is specified. If the last day for the performance of any obligation falls on a day that is not a business day, the time for performance shall be extended to the next succeeding business day.

Section 8.11 Debt Service Coverage. As a condition to conversion of the Loan to permanent financing, the Project shall have achieved, for three (3) consecutive months, a debt service coverage ratio of not less than 1.25 to 1.00, calculated on a trailing basis using actual operating revenues and expenses annualized.

Section 8.12 Confidentiality. Each party shall hold in confidence all non-public information furnished by the other party in connection with this Agreement and shall not disclose such information to any person other than its attorneys, accountants, lenders, investors and advisors who have a need to know and are bound by obligations of confidentiality, except as required by law, regulation or the order of a court or governmental authority.

Article 9

Section 9.1 Conditions to Initial Advance. The obligation of Lender to make the initial Advance is subject to receipt of, among other things, the Approved Part 2 Application, the Construction Contract, evidence that the Equity Requirement has been satisfied, the Appraisal, a title policy in the amount of the Loan, and an opinion of Borrower's counsel in form satisfactory to Lender.

Section 9.2 Retainage. The Lender shall retain ten percent of each advance for hard costs until the Project is fifty percent complete, as certified by the Lender's inspecting engineer, and five percent thereafter. Retainage shall be released upon substantial completion of the applicable Building, receipt of a certificate of occupancy and final lien waivers, and satisfaction of all punch list items.

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Section 9.4 Removal of Managing Member. The Investor Member may remove the Managing Member upon the occurrence of any of the following: (i) fraud, gross negligence or willful misconduct; (ii) a material breach of this Agreement not cured within thirty days after notice; (iii) the bankruptcy of the Managing Member or any Guarantor; or (iv) any action or omission that results in a recapture or disallowance of the Credits.

Section 9.5 Interest Rate. The Loan shall bear interest at a floating rate per annum equal to Term SOFR for a one-month interest period plus three and one-quarter percent (3.25%), subject to a floor of six percent (6.00%), computed on the basis of a 360-day year and actual days elapsed.

Section 9.6 Environmental Matters. Calder Works Owner LLC shall not cause or permit any hazardous substance to be generated, stored, released or disposed of on or from the Property except in compliance with applicable environmental laws. Calder Works Owner LLC shall promptly notify the Lender of any release, claim or notice of violation and shall undertake, at its cost, any remediation required by any governmental authority having jurisdiction.

Section 9.7 Maturity. The Loan shall mature on the date that is thirty-six (36) months after the Closing Date, subject to one extension of six (6) months upon satisfaction of the Extension Conditions, including payment of an extension fee of one quarter of one percent (0.25%) of the outstanding principal balance.

Section 9.8 Insurance. During the term of this Agreement, Calder Works Owner LLC shall maintain, at its sole cost, commercial general liability insurance with limits of not less than $1,000,000 per occurrence and $2,000,000 in the aggregate, builder's risk insurance on a completed value basis, and such other coverage as the Lender may reasonably require. Each policy shall name the Lender as an additional insured and shall provide for thirty days' prior written notice of cancellation.

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Section 9.10 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

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Section 9.12 Management Standards. The Manager shall operate the Property in a manner consistent with first-class residential properties of similar age and type in the Lynchburg metropolitan area, shall use diligent efforts to lease units at market rents, shall collect rents and other income, and shall cause all repairs and maintenance to be performed in a good and workmanlike manner in accordance with the approved budget.

Article 10

Section 10.1 Conditions to Initial Advance. The obligation of Lender to make the initial Advance is subject to receipt of, among other things, the Approved Part 2 Application, the Construction Contract, evidence that the Equity Requirement has been satisfied, the Appraisal, a title policy in the amount of the Loan, and an opinion of Borrower's counsel in form satisfactory to Lender.

Section 10.2 Warranty of Work. The Contractor warrants that all materials and equipment furnished under this Agreement will be new unless otherwise specified, of good quality and free from defects, and that the Work will conform to the Contract Documents. The Contractor shall correct any Work found to be defective within one year after substantial completion of the applicable Building.

Section 10.3 Equity Requirement. Prior to the first Advance, and at all times thereafter, Borrower shall have contributed to Project Costs, from sources other than the Loan, an amount not less than the excess of Total Project Costs as set forth in Exhibit C over the Loan Amount, and Lender shall not be required to make any Advance to the extent that, after giving effect thereto, the undisbursed Loan proceeds and remaining Equity would be insufficient to complete the Project.

Section 10.4 Compensation of Manager. As full compensation for its services, the Manager shall receive a monthly management fee equal to four percent of gross collected revenues of the Property, payable in arrears on the tenth day of each month. No leasing commission, construction supervision fee or other compensation shall be payable to the Manager or its affiliates except as approved in writing by the Owner.

Section 10.5 Interest Rate. The Loan shall bear interest at a floating rate per annum equal to Term SOFR for a one-month interest period plus three and one-quarter percent (3.25%), subject to a floor of six percent (6.00%), computed on the basis of a 360-day year and actual days elapsed.

Section 10.6 Budgets and Operating Plans. Not later than sixty days before the start of each fiscal year, the Managing Member shall prepare and deliver to the Investor Member a proposed annual operating budget for the Property. Any budget that increases total operating expenses by more than ten percent over the prior year, or that provides for any capital expenditure in excess of $100,000, shall require the approval of the Investor Member.

Section 10.7 Maturity. The Loan shall mature on the date that is thirty-six (36) months after the Closing Date, subject to one extension of six (6) months upon satisfaction of the Extension Conditions, including payment of an extension fee of one quarter of one percent (0.25%) of the outstanding principal balance.

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Section 10.9 Tax Credit Covenants. Borrower shall comply with all requirements necessary to obtain and maintain the Federal Credits and State Credits for each Building, shall not take any action that would cause a recapture of such credits, and shall deliver to Lender copies of all Part 2 and Part 3 correspondence promptly upon receipt.

Section 10.10 Draw Requests. Each request for an advance shall be submitted on the Lender's standard form not later than the fifteenth day of the month, accompanied by an AIA G702/G703 application for payment certified by the Architect, lien waivers from the General Contractor and each subcontractor for the prior advance, an updated construction schedule and such other documents as the Lender may reasonably require.

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Section 10.12 Force Majeure. Neither party shall be liable for any delay or failure in performance (other than the payment of money) caused by events beyond its reasonable control, including acts of God, fire, flood, epidemic, war, terrorism, labor disputes not involving the affected party's employees, governmental action or unavailability of materials, provided that the affected party gives prompt notice and uses commercially reasonable efforts to resume performance.

Article 11

Section 11.1 Conditions to Initial Advance. The obligation of Lender to make the initial Advance is subject to receipt of, among other things, the Approved Part 2 Application, the Construction Contract, evidence that the Equity Requirement has been satisfied, the Appraisal, a title policy in the amount of the Loan, and an opinion of Borrower's counsel in form satisfactory to Lender.

Section 11.2 Compliance with Laws. Calder Works Owner LLC shall comply in all material respects with all laws, ordinances, rules, regulations and orders of governmental authorities applicable to the Property and its operation, including building codes, fire safety regulations, environmental laws, fair housing laws and the requirements of the Americans with Disabilities Act, and shall obtain and maintain all permits and licenses required in connection therewith.

Section 11.3 Equity Requirement. Prior to the first Advance, and at all times thereafter, Borrower shall have contributed to Project Costs, from sources other than the Loan, an amount not less than the excess of Total Project Costs as set forth in Exhibit C over the Loan Amount, and Lender shall not be required to make any Advance to the extent that, after giving effect thereto, the undisbursed Loan proceeds and remaining Equity would be insufficient to complete the Project.

Section 11.4 Remedies Cumulative. Except as otherwise expressly provided, the rights and remedies of the parties under this Agreement are cumulative and not exclusive of any rights or remedies that they may otherwise have at law or in equity. The exercise of any one right or remedy shall not preclude the concurrent or subsequent exercise of any other right or remedy.

Section 11.5 Interest Rate. The Loan shall bear interest at a floating rate per annum equal to Term SOFR for a one-month interest period plus three and one-quarter percent (3.25%), subject to a floor of six percent (6.00%), computed on the basis of a 360-day year and actual days elapsed.

Section 11.6 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 11.7 Maturity. The Loan shall mature on the date that is thirty-six (36) months after the Closing Date, subject to one extension of six (6) months upon satisfaction of the Extension Conditions, including payment of an extension fee of one quarter of one percent (0.25%) of the outstanding principal balance.

Section 11.8 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be reviewed by the Owner's historic consultant and, where required by the conditions of the Part 2 approval, submitted to the State Historic Preservation Office for review by the National Park Service.

Section 11.9 Tax Credit Covenants. Borrower shall comply with all requirements necessary to obtain and maintain the Federal Credits and State Credits for each Building, shall not take any action that would cause a recapture of such credits, and shall deliver to Lender copies of all Part 2 and Part 3 correspondence promptly upon receipt.

Section 11.10 Assignment. Calder Works Owner LLC shall not assign, transfer or delegate any of its rights or obligations under this Agreement, whether voluntarily, by operation of law or otherwise, without the prior written consent of the Lender, which may be withheld in its sole discretion. Any purported assignment in violation of this Section shall be null and void. Subject to the foregoing, this Agreement shall bind and benefit the parties and their respective successors and permitted assigns.

Section 11.11 Debt Service Coverage. As a condition to conversion of the Loan to permanent financing, the Project shall have achieved, for three (3) consecutive months, a debt service coverage ratio of not less than 1.25 to 1.00, calculated on a trailing basis using actual operating revenues and expenses annualized.

Section 11.12 Representations Regarding the Property. Calder Works Owner LLC represents that, to its knowledge, there are no pending or threatened actions, suits or proceedings affecting the Property; that it has not received any notice of violation of any law affecting the Property that remains uncured; and that the plans and specifications for the rehabilitation have been prepared in accordance with the approved Part 2 application and all conditions thereto.

Article 12

Section 12.1 Conditions to Initial Advance. The obligation of Lender to make the initial Advance is subject to receipt of, among other things, the Approved Part 2 Application, the Construction Contract, evidence that the Equity Requirement has been satisfied, the Appraisal, a title policy in the amount of the Loan, and an opinion of Borrower's counsel in form satisfactory to Lender.

Section 12.2 Reserves. The Company shall establish and maintain an operating reserve and a replacement reserve in the amounts required by the Lender and the Investor Member. Withdrawals from the operating reserve shall be made only to fund operating deficits, and withdrawals from the replacement reserve shall be made only for capital repairs and replacements approved in the annual budget or otherwise approved by the Investor Member.

Section 12.3 Equity Requirement. Prior to the first Advance, and at all times thereafter, Borrower shall have contributed to Project Costs, from sources other than the Loan, an amount not less than the excess of Total Project Costs as set forth in Exhibit C over the Loan Amount, and Lender shall not be required to make any Advance to the extent that, after giving effect thereto, the undisbursed Loan proceeds and remaining Equity would be insufficient to complete the Project.

Section 12.4 Representations of Authority. Each party represents and warrants that it is duly organized, validly existing and in good standing under the laws of the jurisdiction of its formation; that it has full power and authority to enter into and perform this Agreement; that the execution, delivery and performance of this Agreement have been duly authorized by all necessary action; and that this Agreement constitutes its legal, valid and binding obligation, enforceable in accordance with its terms.

Section 12.5 Interest Rate. The Loan shall bear interest at a floating rate per annum equal to Term SOFR for a one-month interest period plus three and one-quarter percent (3.25%), subject to a floor of six percent (6.00%), computed on the basis of a 360-day year and actual days elapsed.

Section 12.6 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as the Lender may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of Calder Works Owner LLC beyond those expressly stated herein.

Section 12.7 Maturity. The Loan shall mature on the date that is thirty-six (36) months after the Closing Date, subject to one extension of six (6) months upon satisfaction of the Extension Conditions, including payment of an extension fee of one quarter of one percent (0.25%) of the outstanding principal balance.

Section 12.8 Events of Default. Each of the following shall constitute an Event of Default: (a) failure to pay any amount when due and continuance of such failure for ten days; (b) any representation proving untrue in any material respect when made; (c) failure to perform any other covenant within thirty days after notice; (d) the filing of any lien against the Property not bonded or discharged within thirty days; or (e) any material adverse change in the condition of the Property or the Borrower.

Section 12.9 Tax Credit Covenants. Borrower shall comply with all requirements necessary to obtain and maintain the Federal Credits and State Credits for each Building, shall not take any action that would cause a recapture of such credits, and shall deliver to Lender copies of all Part 2 and Part 3 correspondence promptly upon receipt.

Section 12.10 Entire Agreement. This Agreement, together with the Exhibits and Schedules attached hereto, constitutes the entire agreement among the parties with respect to its subject matter and supersedes all prior and contemporaneous agreements, term sheets, letters of intent, presentations and understandings, whether written or oral. No statement in any offering material, investor presentation or summary shall modify the terms hereof unless expressly incorporated by written amendment.

Section 12.11 Debt Service Coverage. As a condition to conversion of the Loan to permanent financing, the Project shall have achieved, for three (3) consecutive months, a debt service coverage ratio of not less than 1.25 to 1.00, calculated on a trailing basis using actual operating revenues and expenses annualized.

Section 12.12 Interpretation. The headings in this Agreement are for convenience only and shall not affect its interpretation. Words in the singular include the plural and vice versa. The words 'include', 'includes' and 'including' are deemed followed by 'without limitation'. References to Sections, Exhibits and Schedules are to those of this Agreement unless otherwise stated. Defined terms used in an Exhibit have the meanings given in the body of this Agreement unless the Exhibit provides otherwise.

Exhibit C - Budget and Sources and Uses

Loan	$26,000,000
Developer fee	$5,400,000
Total Project Costs	$49,800,000

Attached at closing, September 1, 2023.

Article 13

Section 13.1 Conditions to Initial Advance. The obligation of Lender to make the initial Advance is subject to receipt of, among other things, the Approved Part 2 Application, the Construction Contract, evidence that the Equity Requirement has been satisfied, the Appraisal, a title policy in the amount of the Loan, and an opinion of Borrower's counsel in form satisfactory to Lender.

Section 13.2 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 13.3 Equity Requirement. Prior to the first Advance, and at all times thereafter, Borrower shall have contributed to Project Costs, from sources other than the Loan, an amount not less than the excess of Total Project Costs as set forth in Exhibit C over the Loan Amount, and Lender shall not be required to make any Advance to the extent that, after giving effect thereto, the undisbursed Loan proceeds and remaining Equity would be insufficient to complete the Project.

Section 13.4 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 13.5 Interest Rate. The Loan shall bear interest at a floating rate per annum equal to Term SOFR for a one-month interest period plus three and one-quarter percent (3.25%), subject to a floor of six percent (6.00%), computed on the basis of a 360-day year and actual days elapsed.

Section 13.6 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 13.7 Maturity. The Loan shall mature on the date that is thirty-six (36) months after the Closing Date, subject to one extension of six (6) months upon satisfaction of the Extension Conditions, including payment of an extension fee of one quarter of one percent (0.25%) of the outstanding principal balance.

Section 13.8 Tax Matters Partner. The Managing Member is designated as the partnership representative of the Company within the meaning of Section 6223 of the Code. The partnership representative shall not settle any audit, extend any statute of limitations or file any petition with respect to Company tax items without the prior written consent of the Investor Member, and shall keep the Investor Member informed of all material communications with taxing authorities.

Section 13.9 Tax Credit Covenants. Borrower shall comply with all requirements necessary to obtain and maintain the Federal Credits and State Credits for each Building, shall not take any action that would cause a recapture of such credits, and shall deliver to Lender copies of all Part 2 and Part 3 correspondence promptly upon receipt.

Section 13.10 Estoppel Certificates. Within ten business days after request by the Lender, Calder Works Owner LLC shall deliver a certificate stating whether this Agreement is in full force and effect, whether it has been modified (and identifying any modification), the dates through which amounts payable hereunder have been paid, and whether, to the knowledge of the certifying party, any default exists. Any such certificate may be relied upon by any prospective lender, investor or purchaser.

Section 13.11 Debt Service Coverage. As a condition to conversion of the Loan to permanent financing, the Project shall have achieved, for three (3) consecutive months, a debt service coverage ratio of not less than 1.25 to 1.00, calculated on a trailing basis using actual operating revenues and expenses annualized.

Section 13.12 Amendments. No amendment, modification, supplement or waiver of any provision of this Agreement shall be effective unless set forth in a writing signed by each party against whom enforcement is sought. Any Exhibit may be replaced only by an amendment that expressly identifies the Exhibit being replaced; absent such identification, the Exhibit attached on the Effective Date shall continue to control.

Article 14

Section 14.1 Conditions to Initial Advance. The obligation of Lender to make the initial Advance is subject to receipt of, among other things, the Approved Part 2 Application, the Construction Contract, evidence that the Equity Requirement has been satisfied, the Appraisal, a title policy in the amount of the Loan, and an opinion of Borrower's counsel in form satisfactory to Lender.

Section 14.2 Dissolution. The Company shall dissolve and its affairs shall be wound up upon the first to occur of (a) the sale or other disposition of all or substantially all of its assets, (b) the written consent of all Members, or (c) the entry of a decree of judicial dissolution. Upon dissolution, the assets of the Company shall be applied in the order of priority set forth in Section 10.3.

Section 14.3 Equity Requirement. Prior to the first Advance, and at all times thereafter, Borrower shall have contributed to Project Costs, from sources other than the Loan, an amount not less than the excess of Total Project Costs as set forth in Exhibit C over the Loan Amount, and Lender shall not be required to make any Advance to the extent that, after giving effect thereto, the undisbursed Loan proceeds and remaining Equity would be insufficient to complete the Project.

Section 14.4 Indemnification. Calder Works Owner LLC shall indemnify, defend and hold harmless the Lender and its members, managers, officers, employees and agents from and against any and all losses, liabilities, damages, costs and expenses, including reasonable attorneys' fees, arising out of (a) any breach of any representation, warranty or covenant of Calder Works Owner LLC contained herein, (b) the gross negligence or willful misconduct of Calder Works Owner LLC, or (c) any claim by a third party relating to the condition of the Property prior to the Effective Date.

First Amendment to Construction Loan Agreement

Dated July 31, 2024

1. Section 2.1 is amended by deleting ~~$26,000,000~~ $24,500,000 and inserting the new amount.

2. All references in the Loan Agreement to the Loan Amount shall be read as references to the amount as so amended. Except as expressly amended hereby, the Loan Agreement, including each Exhibit thereto, remains unmodified and in full force and effect and is hereby ratified and confirmed.

Signatures

BORROWER: Calder Work Owners LLC, by its manager

LENDER: First Piedmont Bank

Section 14.5 Interest Rate. The Loan shall bear interest at a floating rate per annum equal to Term SOFR for a one-month interest period plus three and one-quarter percent (3.25%), subject to a floor of six percent (6.00%), computed on the basis of a 360-day year and actual days elapsed.

Section 14.6 No Third-Party Beneficiaries. Nothing in this Agreement, express or implied, is intended to or shall confer upon any person other than the parties and their respective successors and permitted assigns any legal or equitable right, benefit or remedy of any nature whatsoever under or by reason of this Agreement, except as expressly provided with respect to indemnified persons.

Section 14.7 Maturity. The Loan shall mature on the date that is thirty-six (36) months after the Closing Date, subject to one extension of six (6) months upon satisfaction of the Extension Conditions, including payment of an extension fee of one quarter of one percent (0.25%) of the outstanding principal balance.

Section 14.8 Books and Records. Calder Works Owner LLC shall keep complete and accurate books of account and records with respect to the Property and the transactions contemplated hereby, in accordance with generally accepted accounting principles consistently applied, and shall make such books and records available to the Lender and its representatives for inspection and copying at reasonable times upon not less than five business days' prior notice.